AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI

ANNUAL EXAMINATIONS 2022

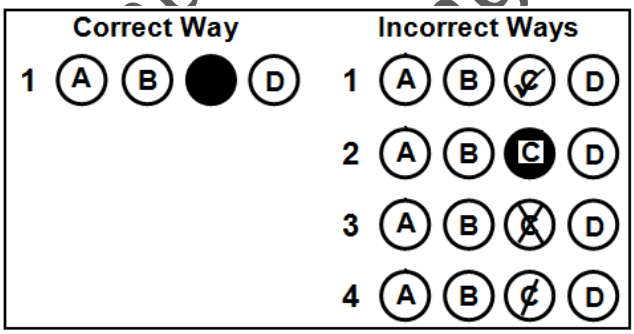
Principles of Economics

Time: 1 hour 40 minutes Marks: 50

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 50 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. The marks obtained on the 50 MCQs will be equated to the total marks of 75 for the theory examination results.
8. You may use a scientific calculator if you wish.

1. Which of the following goods is classified as ‘non-economic good’?

	
A	B
	
C	D

2. Which of the following goods is an example of a ‘public good’?

	
A	B
	
C	D

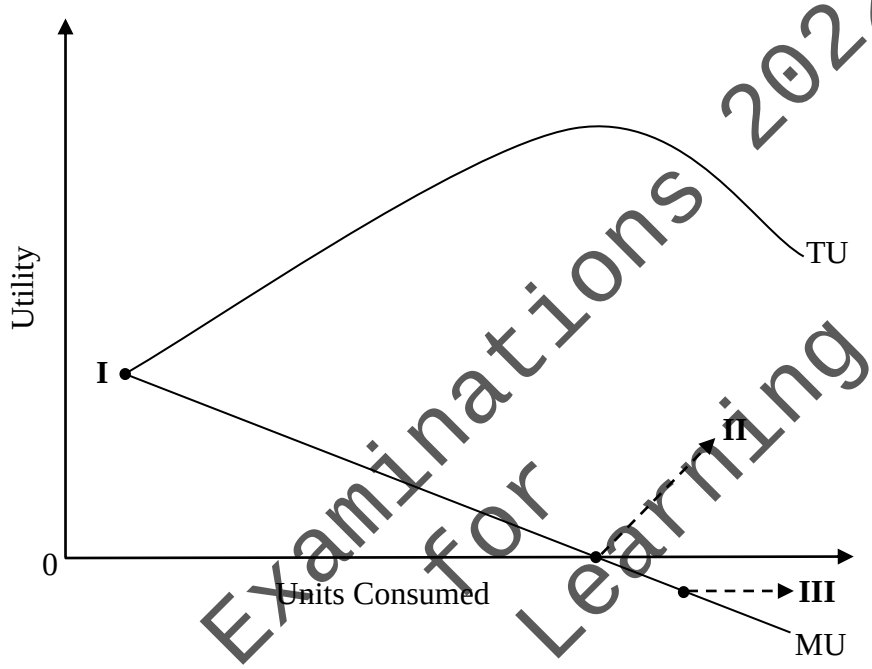
3. Which of the following economists has defined economics as ‘a study of scarcity and choices’?

A. Adam Smith
B. Alfred Marshall
C. John Maynard Keynes
D. Lionel Robbins

4. Which one of the following statements exemplifies 'normative economics'?

   A. Car scrappage scheme can result in the fall of prices of second hand cars.
   B. The desired rate of return on risky stocks are higher as compared to others.
   C. The government should increase wealth tax laws to decrease the uneven distribution of wealth.
   D. The relationship between wealth and demand is inverse in the case of inferior goods.

5. The given graph shows the relationship between marginal and total utility.



Utility derived at point **III,** is known as

A. initial utility.
B. maximum utility.
C. zero utility.
D. negative utility.

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Use the given information to answer Q.6 and Q.7.

The following table refers to the derived utility of a consumer:

Units Consumed	Utils
1	10
2	8
3	6
4	4

6. The marginal utility derived from the consumption of 3rd unit would be

   A. 2
   B. 6
   C. 14
   D. 24

7. After the consumption of 3rd unit, the total utility of the consumer would be

   A. 6
   B. 18
   C. 24
   D. 30

8. An indifference curve is always convex to the origin because of the diminishing marginal rate of substitution (MRS).

   If good X is on X-axis and good Y is on Y-axis, then the formula for calculating MRS of good X is

   A. $(\Delta X - \Delta Y) / \Delta X$.
   B. $(\Delta Y - \Delta X) / \Delta Y$.
   C. $\Delta X / \Delta Y$.
   D. $\Delta Y / \Delta X$.

9. A company that manufactures Stereo headphones found out that when it lowered its selling price from Rs 1,500 to Rs 1,000 per unit, the sales of headphones increased from 100,000 units to 140,000 units.

   With reference to the given situation, the price elasticity of demand for the company's headphones would be

   A. 0.012
   B. 0.833
   C. 1.00
   D. 1.20

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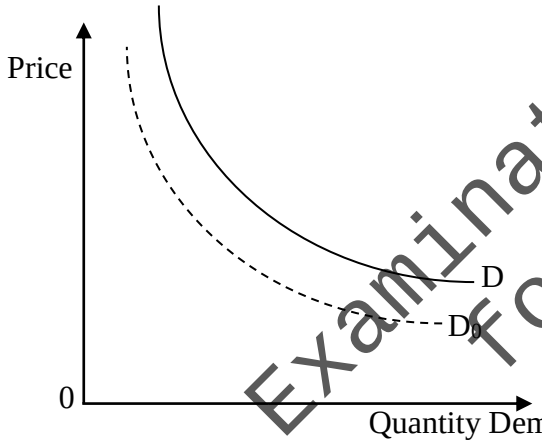
10. All of the following are considered as determinants of demands EXCEPT for

A. income.
B. population.
C. price.
D. technique of production.

11. The type of good that has a demand curve resembling to that of a normal supply curve is a/ an

A. giffen good.
B. inferior good.
C. luxury good.
D. normal good.

12. The given graph shows the shift of a demand curve from D to D_0 of a normal good.



All of the following could be the causes for the shift in the given demand curve EXCEPT for

A. decrease in the level of minimum wages.
B. decrease in the price of substitute goods.
C. increase in the price of its complements.
D. increase in the level of consumer's income.

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Use the given information to answer Q.13 and Q.14.

An increase in the price of a television set from Rs 18,000 to Rs 24,000 has resulted in the following:

- decrease in demand by 4,000 units whereas its initial demand was 16,000 units
- increase in supply from 12,000 units to 13,200 units

13. The point elasticity of demand for the television set in the given situation would be

    A. 0.44
    B. 0.75
    C. 1.33
    D. 2.25

14. The point elasticity of supply for the television set in the given situation would be

    A. 0.20
    B. 0.30
    C. 3.3
    D. 5.0

15. If the price of elasticity of supply of a good is less than one, then this good is classified as a

    A. comfort good.
    B. complementary good.
    C. luxury good.
    D. normal good.

16. On April 23, 2020, oil prices fell globally to new lows after the price for a barrel of West Texas Intermediate (WTI) crude, the benchmark used for pricing, fell negatively to $36.20 a barrel. Recently, the demand for oil has greatly reduced due to a multiple of factors.

    When oil prices are negative, the production of oil is not discontinued even though there are inadequate storage facilities to store the surplus oil.

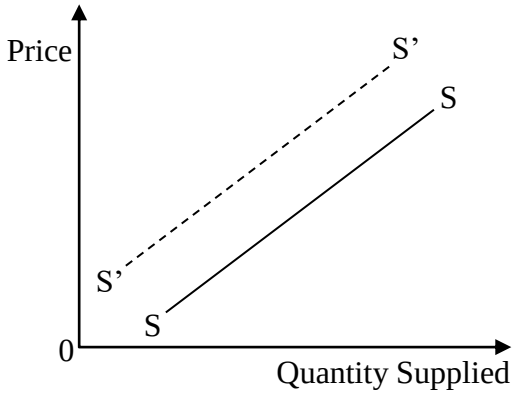
    (source: https://qz.com/1841668/oil-prices-are-negative-for-first-time-ever/)

    Based on the given information, the elasticity of supply of crude oil is

    A. infinite.
    B. less than one.
    C. more than one.
    D. zero.

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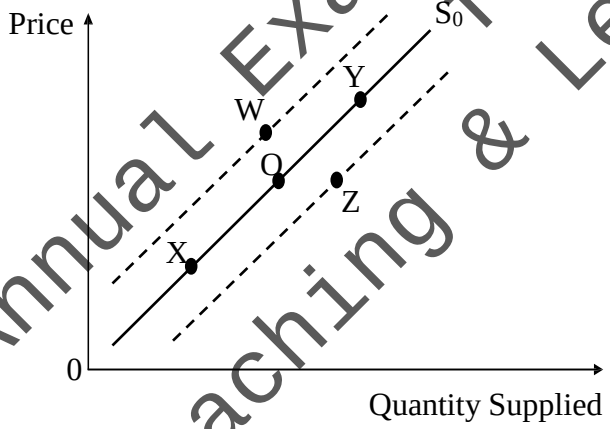
17. The given graph shows a shift in the supply curve for the locally produced motor vehicles from SS to S'S'.



This change has been caused by a/ an

A. increase in tariffs on the imported reconditioned cars.
B. increase in wages of the car workers.
C. reduction in tax on the new motor vehicles.
D. successful advertising campaign to purchase new cars.

18. If the cost of components and accessories of cars falls down, then in the given graph the supply of cars will shift from point

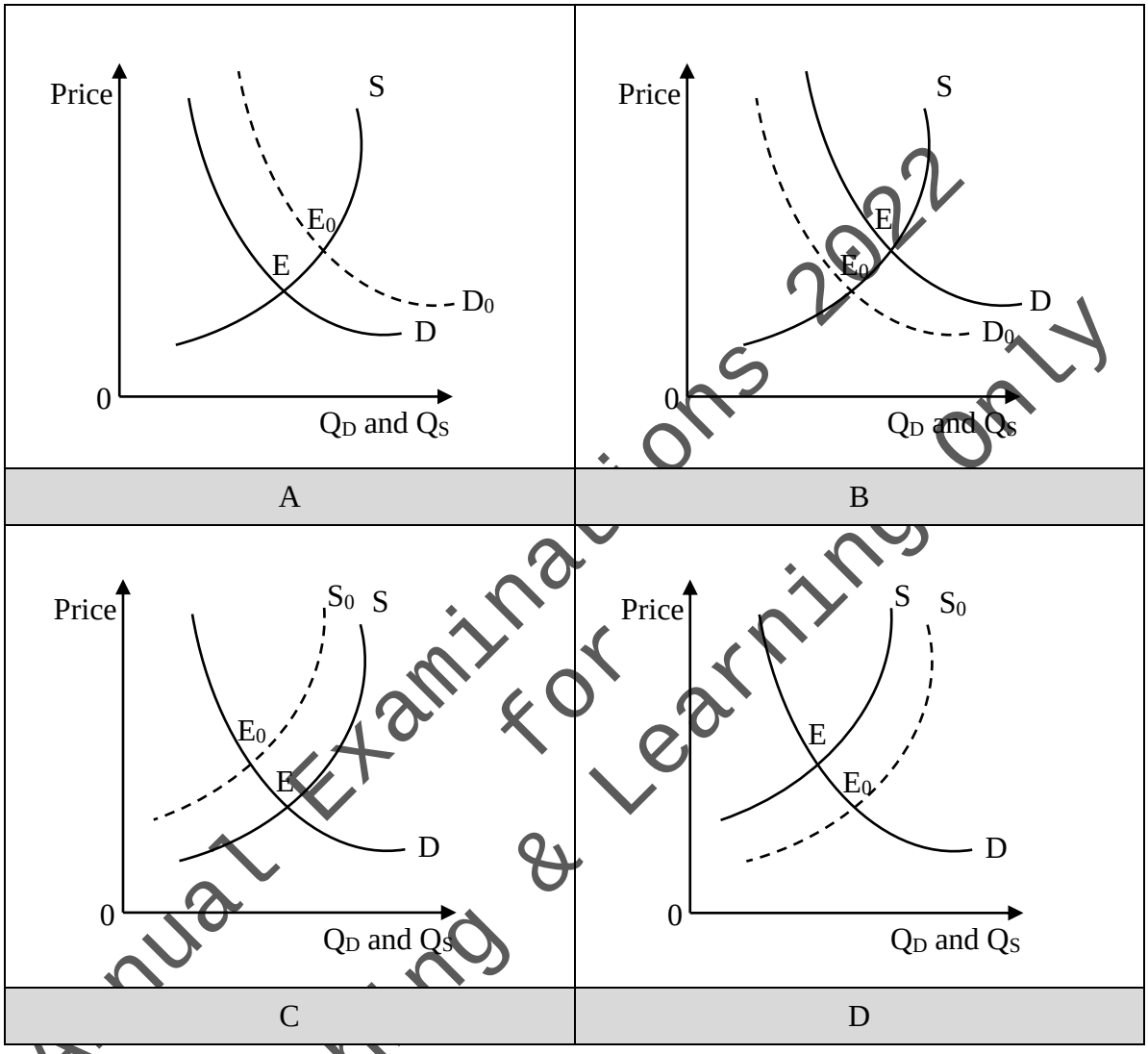


A. O to W.
B. O to X.
C. O to Y.
D. O to Z.

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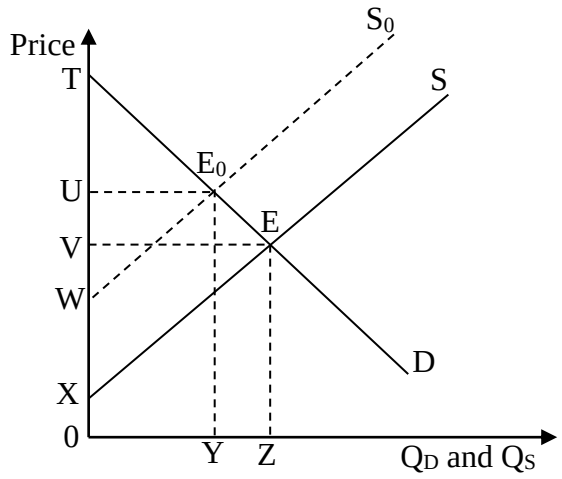
19. During the months of February and March 2020, the demand for hand sanitisers in Pakistan increased. This resulted in the change of equilibrium from E to E_0.

The graph representing the given situation is



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20. The given graph shows the shift of the supply curve from S to S_0, due to the imposition of tax by the government.



In the given graph, the producer's surplus at the new equilibrium price would be

A. TE_0U.
B. TE_0W.
C. VEX.
D. UE_0W.

21. Absar is operating a small scale cottage industry of making furnitures. His business is in growing stage. The BEST possible combination of capital and labour he would require for producing furnitures is

	Capital	Labour
A	less	less
B	more	less
C	less	more
D	more	more

22. Which of the following factors is MOST likely to be the biggest hurdle in raising per capita income for under-developed countries?

A. Low level of birth rate and literacy rate
B. Low level of literacy rate and imports
C. Low level of national income and employment
D. Low level of unemployment and exports

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23. With reference to the cost and factors of production, which of the following is TRUE for large scale production?

	Cost	Factors of Production
A	Average cost decreases	All factors are variables
B	Total cost decreases	Only labour is variable
C	Total cost increases	All factors are variables
D	Average cost increases	Only labour is variable

24. With reference to the production curves, if the point at which the total product is maximum, then the marginal product will be

A. equal to the average product.
B. more than the average product.
C. negative.
D. zero.

25. The CORRECT set of values of X and Y for the given data would be

No. of Labours	Total Cost TC	Output Q	Average Cost AC	Marginal Cost MC
0	1,000	0	0	-
1	2,000	100	20	**X**
2	3,000	300	10	5
3	4,200	**Y**	7	4
4	5,000	1,000	5	2

	X	Y
A	5	600
B	10	600
C	20	840
D	50	840

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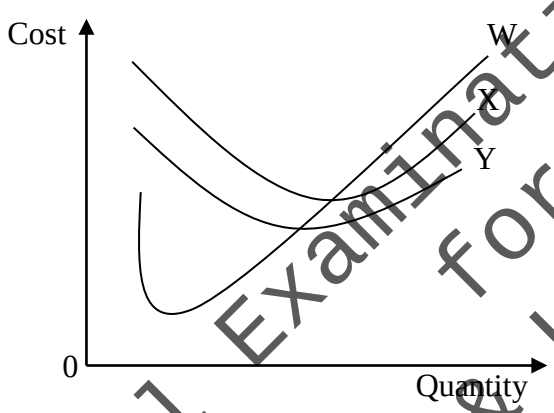
26. Consider the following details of cost of production of a firm.

Output	Fixed Cost (FC)	Variable Cost (VC)	Total Cost (TC)
1	10	5	15
2	10	4	14

In the given scenario, the average fixed cost (AFC) for the first unit would be

A. 4.5
B. 10
C. 14.5
D. 29

27. With reference to the cost curves, the CORRECT labelling of marginal cost (MC), average total cost (ATC) and average variable cost (AVC) is



	W	X	Y
A	MC	ATC	AVC
B	AVC	ATC	MC
C	MC	AVC	ATC
D	AVC	MC	ATC

28. In monopoly under inelastic demand, a manufacturer increases the price of a product every time when the demand is increased.

With reference to the given statement, the manufacturer will experience an increase in the

A. total revenue, average revenue and marginal revenue.
B. marginal revenue but decrease in the total revenue and average revenue.
C. total revenue and average revenue but decrease in the marginal revenue.
D. total revenue but decrease in the marginal and average revenue.

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29. The cost that is included in calculating both the economic and accounting profit is

A. explicit cost.
B. implicit cost.
C. marginal cost.
D. opportunity cost.

30. With reference to the laws of returns, if the marginal revenue (MR) of a production firm is '0,' then its average revenue (AR) would be

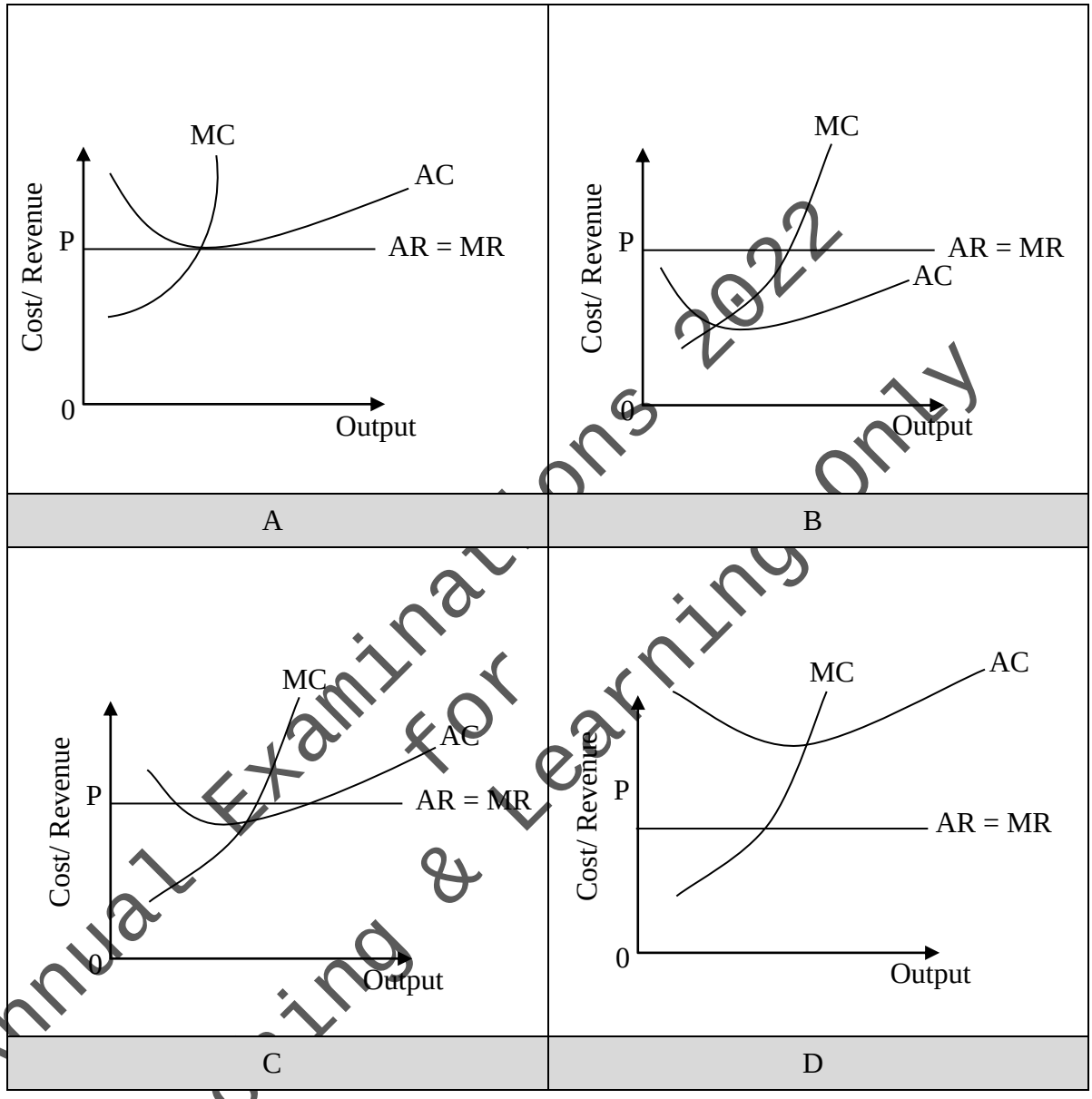
A. decreasing.
B. increasing.
C. maximum.
D. minimum.

31. The slope of total revenue (TR) curve is also known as

A. average cost.
B. average revenue.
C. marginal cost.
D. marginal revenue.

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32. Which of the following graphs shows the equilibrium of a firm under perfect competition in the "long run"?

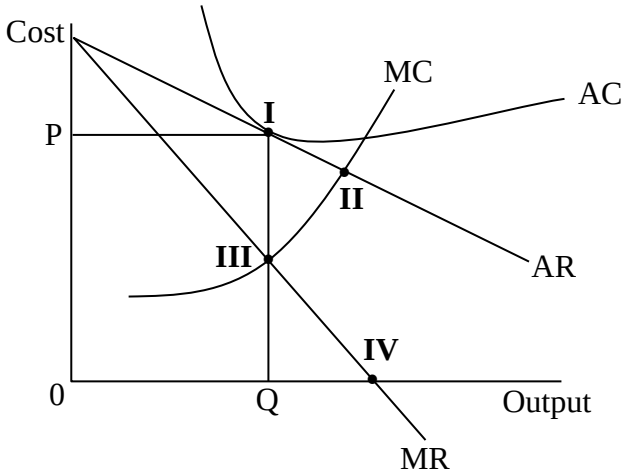


33. It is assumed that in monopoly markets, one of the MOST important factors is

A. free entry and exit of suppliers.
B. price makers/ setters.
C. homogenous goods.
D. perfect information of the market.

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34. In the given graph, the point that represents 'normal profit' under short run is



A. I.
B. II.
C. III.
D. IV.

35. In a short run, a firm, under perfect competition plans to shut down its operation when its marginal cost and price are

A. greater than the average total cost.
B. greater than the average variable cost.
C. equal to the average total cost.
D. equal to the average variable cost.

36. Many firms in the market compete with each other on having slightly different goods. In order to cut off competition, they join hands together and form a cartel.

With reference to imperfect competition, the given description defines

A. duopoly.
B. monopolistic competition.
C. monopoly.
D. oligopoly.

37. Macroeconomics is studied with an objective to increase the

A. balance of payments surplus.
B. economic growth.
C. price level in a country.
D. unemployment level.

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38. A person has received his salary slip with the following details.

Particulars	Amount (Rs)
Basic salary	25,000
Other allowance	15,000
Medical benefit	10,000
Income tax	2,500

In the given situation, the total disposable income would be

A. Rs 25,000
B. Rs 47,500
C. Rs 50,000
D. Rs 52,500

39. GNP (gross national product) is different from GDP (gross domestic product) as it includes the

A. difference of exports and imports of visible goods.
B. difference of payments paid to foreigners for their services.
C. income of foreigners living in the country.
D. net income from aboard.

40. A country produces goods of worth $1 billion and services of $3 billion in 2018. The assets used to produce these goods and services are depreciated by $0.5 billion.

According to the income approach, the amount of NNP (Net National Product) of the country would be

A. $1.5 billion.
B. $2.5 billion.
C. $3.5 billion.
D. $4.5 billion.

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41. Following are the hypothetical figures of an economy:

• Household Consumption	310 million
• Household savings	120 million
• Investment expenditure	240 million
• Government expenditure	170 million
• Total value of exports	360 million
• Total value of imports	160 million
• Total remittances received	150 million
• Total income earned by foreigners	130 million
• Depreciations	115 million
• Foreign loans and Aid	345 million

Based on the given data, the net foreign income from abroad would be

A. 20 million.
B. 130 million.
C. 150 million.
D. 280 million.

42. All of the following are the methods of measuring national income EXCEPT for

A. consumption approach.
B. expenditure approach.
C. income approach.
D. product approach.

43. All of the following concepts of national income considers the amount of foreign remittances EXCEPT for

A. GDP.
B. GNP.
C. NI.
D. NNP.

44. According to Irving Fisher, the quantity of money supply affects the general price level.

Given is the information about an economy:

Velocity of circulation (V)	=	5
Money supply in the economy (M)	=	Rs 150 (million)
Average price level (P)	=	15

With reference to the given situation, the total transactions (T) performed would be

A. 2
B. 10
C. 30
D. 50

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45. The paper money is generally categorised as

A. credit money
B. digital money.
C. fiat money.
D. plastic money.

46. All of the following are considered as difficulties for barter trade EXCEPT that it

A. cannot provide common measure of a value.
B. creates inflation.
C. is not applicable on indivisibility of certain goods.
D. requires double coincidence of wants.

47. Suppose, a government forecasts its economic growth. They expand their expenditures and emphasise on increasing exports.

The given measures will lead to a/ an

A. decrease in cost push inflation.
B. decrease in demand pull inflation.
C. increase in cost push inflation.
D. increase in demand pull inflation.

48. Which of the following is considered as a fiscal measure to control the inflation?

A. Government changes the reserves ratio of the central bank to cut down money supply.
B. Government reduces its expenditure and increases the direct tax rates.
C. Government issues securities to the private sector and commercial banks.
D. Government increases the interest rates through the central bank.

49. Which of the following functions of money depicts the property of store of value?

A. Divisibility
B. Deferability
C. Tangibility
D. Transferability

50. All of the following are the causes of inflation in Pakistan EXCEPT for

A. decrease in money supply.
B. deficit financing.
C. foreign remittances.
D. increase in velocity of money.

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